

trendline. I consider anything less than 5% in the breakout direction to be a failure. The failure confirms when price closes beyond the side opposite the breakout (below the bottom in this case). When that happens, it busts the upward breakout.

I highlight 5% failures because I wanted a method to catalog poorly performing chart patterns. Look at this another way: Had you bought this stock when it left the rectangle top, would you be upset when it throws back to the top trendline and continues lower? You might even take a loss if you are not quick enough to exit the trade.

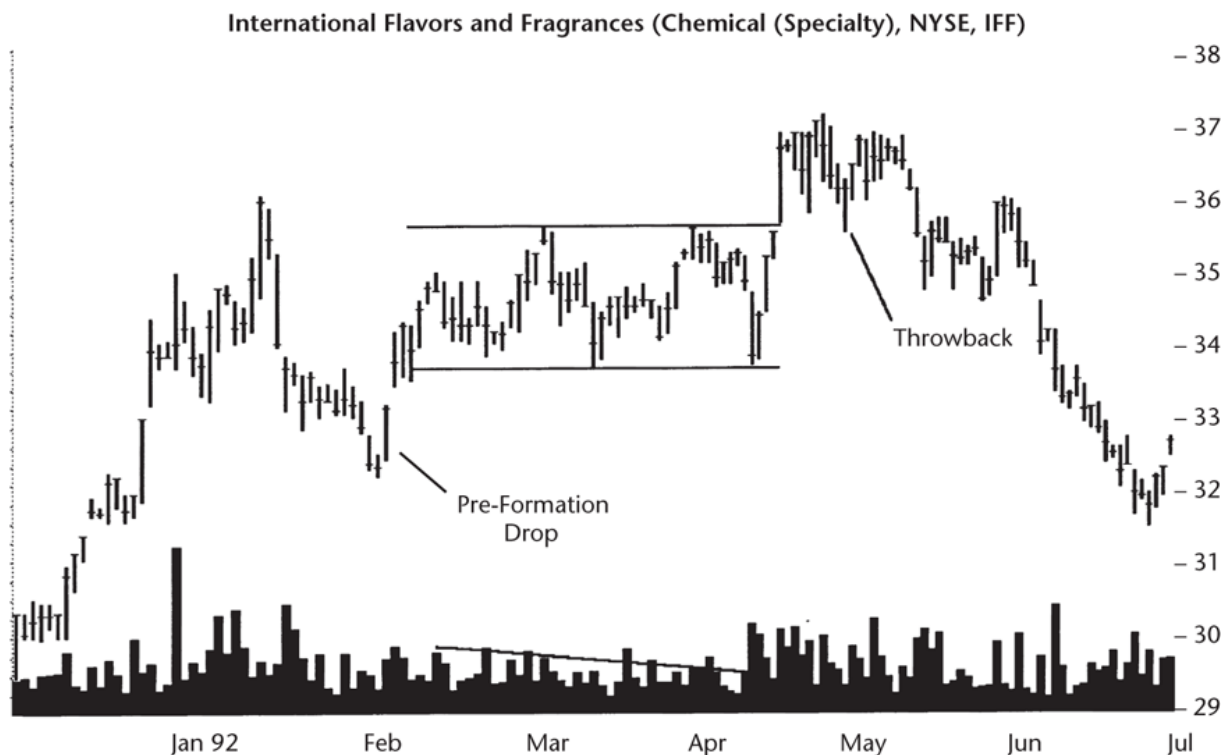


Figure 52.3 A 5% failure of a rectangle top. Price follows the existing trend upward but only for a little gain before heading back into the rectangle and shooting out the other side.

Several of my trades follow the profile shown in the figure: an upward breakout followed by a reversal. After that reversal, price continues down as if it forgot that a throwback is supposed to see price recover once it completes.